Brazil Macro Monthly

The labor market strengthens, but fiscal dynamics worries again

Highlights

- With tighter financial conditions and the persistence of global supply chain bottlenecks, global economic activity is expected to slow down on the horizon, and a recession becomes more likely;
- Brazil's GDP and employment grew strongly early this year. However, the resumption of activity should lose steam from the second half onwards. We continue to expect GDP to increase 1.6% in 2022 and 0.5% in 2023;
- We expect a public sector surplus of 0.9% of GDP in 2022 and 0.2% in 2023. But the approval of rate reduction measures of state and federal taxes should lead to a significant worsening of these results;
- High commodity prices and strong domestic demand should keep inflation under pressure in the short term. We project 2022 IPCA inflation at 9.2%, acknowledging that tax-cuts proposals represent a downside risk. For 2023, we expect 4.5%;
- From the balance of payments viewpoint, the BRL could be considered undervalued. However, global monetary tightening and domestic political uncertainties pose relevant risks. Thus, we keep our BRL forecast at 5.0 reais per dollar this year, and 5.3 for 2023;
- We believe the Copom will find it necessary to implement two additional 50-bps hikes in June and August before it enters a "wait-and-see" period. Thus, we keep our terminal Selic forecast at 13.75%.

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XP Forecasts

	2018	2019	2020	2021 (F)	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	1.6	0.5
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	9.5	9.0
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	9.2	4.5
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	8.75
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	0.9	0.2
Gross debt (% GDP)	75.3	74.3	88.8	80.3	78.3	82.4
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	64.6	47.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	329.7	333.4
Imports (USD Bn)	185.3	185.9	158.8	219.4	265.1	286.4
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-20.7	-36.3
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-1.1	-1.8
FDI (USD Bn)	78.2	69.2	44.7	46.4	55.0	65.0
FDI (% GDP)	4.1	3.7	2.9	2.9	2.8	3.2
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.94	1.93
Nominal GDP (BRL Tri)	7.00	7.38	7.46	8.67	9.72	10.25

Source: IBGE, BCB, Bloomberg, XP.

Foreword: Global risk remains high. In Brazil, activity is better, but inflation remains high and fiscal concerns are back

Inflation remains the main global economic problem. CPI is approaching double digits even in historically low-inflation regions as the US, eurozone and the UK.

Central banks have been signaling a significant tightening cycle ahead, which increased the probability of recession and lead to a correction in the equity markets.

It is not certain, however, whether the adjustment currently priced in will be sufficient. For the US, for example, markets expect the Fed Funds rates to rise up to 3%. Our models suggest that it is indeed enough to rebalance the economy. But the risk is of a more persistent inflation that would force de Fed to go beyond this level.

In Brazil, recent economic news was good: upward revisions to GDP, falling unemployment, strong tax revenue and a robust trade balance. The positive performance is favored by the reopening of the economy and the rise in commodity prices.

Inflation that continues to bother, though. To tackle it, the government has been using traditional measures – the BCB has already raised interest rates by almost 1100 bps – as well as less orthodox measures, such as tax cuts.

In particular, the project that reduces taxes on fuels and other sectors could have a strong impact on current inflation (up to a 2.50pp drop, according to our calculation). But it creates a dynamics of higher expenditures and tax breaks that jeopardize fiscal sustainability over time.

Still, we remain confident that, with global monetary adjustment, more stable commodities and exchange rate and a slowdown in domestic demand, Brazilian inflation will eventually fade, and the central bank will find considerable room to cut interest rates in 2023.

Naturally, if the electoral cycle does not cause severe disruptions in the economy…

Global Backdrop: Tighter monetary policy and slowing activity in China increase global recession risk

Inflationary pressure persists in the US… The deterioration of the global economic outlook continued to hamper economic prospects in the US. In April, annual headline inflation has eased slightly to 8.3%, still a very high level. We believe that headline inflation should fall to around 5.5% by the end of 2022, but risks are tilted to the upside.

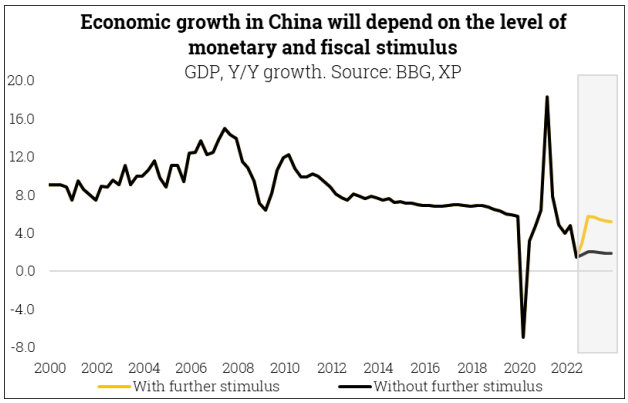
… and the Fed will continue to tighten. We expect at least another 150-bps hike in coming meetings. We still believe the Fed will not have to take interest rates north of 2.5%, backed by our view that economic growth is likely to slow down materially throughout the year and that global supply chains should normalize. Nevertheless, risks are tilted to the upside.

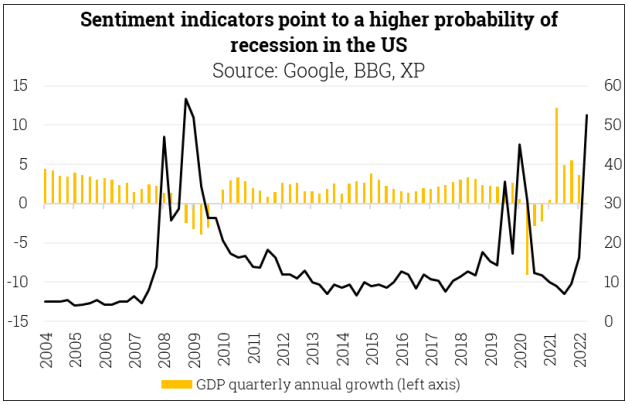
The ECB will have to start its tightening cycle. Headline inflation increased significantly in May to 8.1%, above market expectations. Price increases have been spreading to core items, and inflation is expected to remain pressured on the horizon. The ECB has announced that interest rates will start to rise in July.

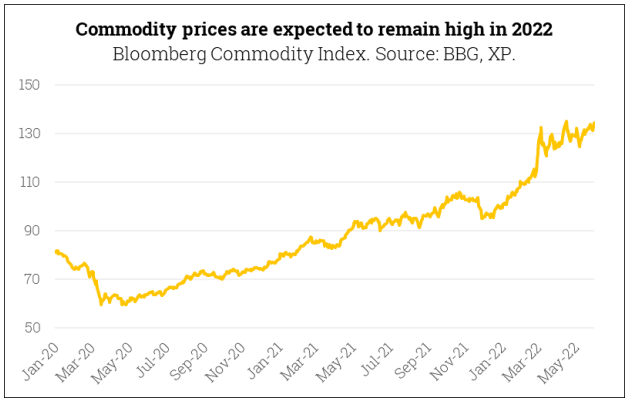
The Chinese economy has started to reopen, but 2022 growth is significantly compromised. The latest economic data has shown significant weakness in economic activity. With the reopening of the economy, activity should rebound somewhat going forward, but achieving the 5.5% growth target is improbable. Economic growth in China over the next two years will strongly depend on policy stimulus provided by the local authorities.

Global recession odds increase. With continued disruptions in supply chains and tighter global financial conditions, economic activity should slow down considerably going forward. It seems a bitter, though necessary remedy to be taken in order to reduce inflationary pressures.

Latam economies should continue to benefit from lingering high commodity prices. We expect 2022 to be another positive year for commodity prices due to a tight supply and demand balance. High commodity prices should continue to benefit Latin American assets, which are currently undervalued. Nevertheless, the region remains hostage to global risk factors, as well as domestic political uncertainties.







Brazil: The labor market strengthens, but fiscal dynamics worries again

Economic Activity – GDP and employment grow solidly in the first half of 2022

Brazil's GDP recovery gained steam in early 2022. As released last week, GDP expanded by 1% QoQ in Q1 (1.7% YoY) and confirmed the strength of domestic activity in recent months. That good performance can be largely explained by the (i) sharp recovery in employment, (ii) more massive government cash transfers to low-income families, and (iii) "income spillover" from rising commodity prices, which boost exporting sectors and improve the dynamics of other local businesses.

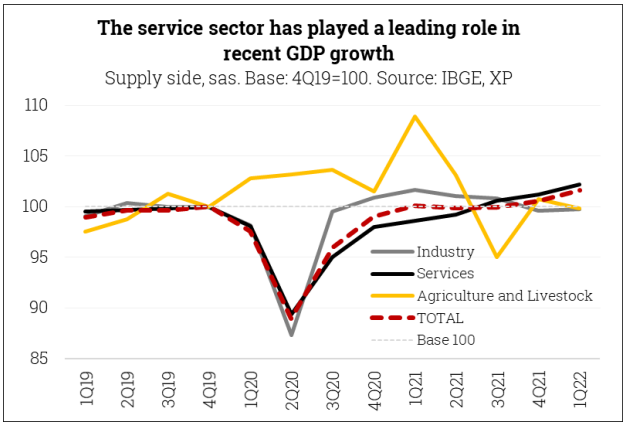
We expect further growth in Q2, mainly driven by household consumption. Activity indicators for April and May suggest that the Brazilian economy remains solid in the current quarter. We draw attention to the improvement in labor market conditions. For instance, the national jobless rate dropped to around 10% in April, the lowest level since late 2016. The rebound in employment has been widespread across formal and informal categories, encompassing most sectors (although retail and service activities play a major role). Despite the maintenance of real wages at low levels – as a consequence of the red-hot inflation – the increased employed population has lifted household disposable income.

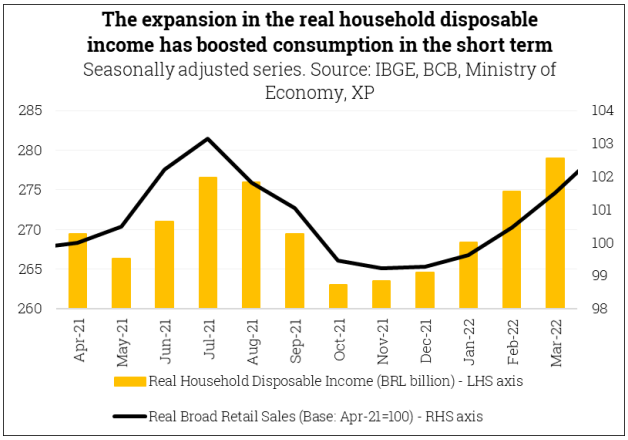
The unemployment rate is expected to reach 9.5% this year-end (previous forecast: 10%). Additionally, a bunch of government stimulus measures - such as the emergency withdrawal of FGTS[1] resources and the anticipation of 13th salary to retirees and pensioners - should support short-term consumption of goods and services. In this regard, the main consumer and business confidence indexes have risen in recent months. For now, we estimate that GDP will expand by 0.6% QoQ in Q2 (2.4% YoY).

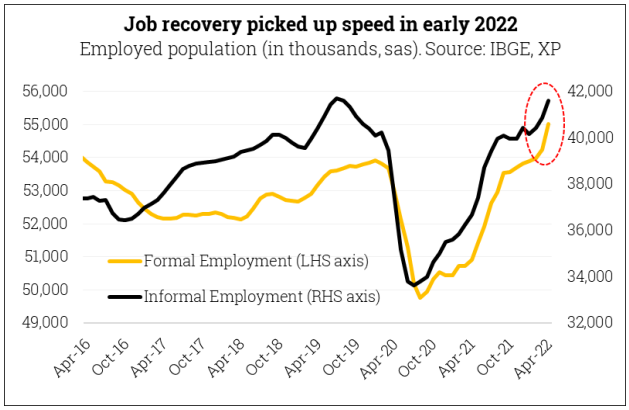
Nonetheless, expectations for the second half of the year are less encouraging. We expect GDP to shrink in the coming quarters (average decline of 0.3% QoQ in Q3 and Q4), owing chiefly to the lagged effects of the monetary policy tightening. The sharp rise in interest rates should weigh on domestic demand, especially on private investment and durable goods consumption. Lower household disposable income – due to the aforementioned government measures to anticipate income and a slowdown in the labor market –, fading effects of economic reopening, and cooling external demand also explain the prospects of weaker domestic growth in the coming quarters.

We maintain the forecast that Brazil's GDP will grow 1.6% in 2022. In our latest monthly report, we assessed that the balance of risks for this year economic growth was skewed to the upside, in line with the release of some stronger-than-expected activity data. However, the downward surprise – albeit moderate – with Q1 GDP results offset that bias.

2023 GDP should grow modestly (0.5%). In addition to the contractionary monetary policy to combat inflation – in Brazil and in several other countries – and the slowdown in the global economy, the





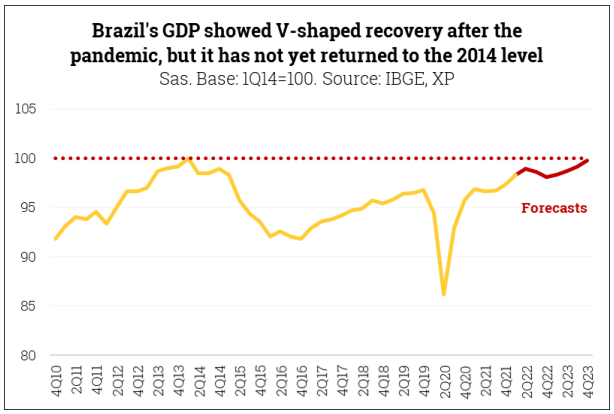


[1] Brazilian Government Severance Indemnity Fund for Employees.

negative statistical carry-over effect from the weaker GDP dynamics in late 2022 (we estimate around -0.5pp) explains our expectation of timid economic growth next year. As we have highlighted in recent publications, we assume two crucial assumptions for the 2023 scenario, namely: (i) the dissipation of (much of) the shocks caused by the pandemic and the war in Ukraine and (ii) the maintenance of fiscal rules aiming at public debt sustainability in the long term.

GDP Breakdown (annual change, %)	2020	2021	2022 (F)	2023 (F)
Agriculture and Livestock	3.8	-0.2	1.5	2.0
Industry	-3.4	4.5	0.3	0.0
Services	-4.3	4.7	2.2	0.6
Total GDP	**-3.9**	**4.6**	**1.6**	**0.5**
Household Consumption	-5.4	3.6	1.9	0.7
Government Consumption	-4.5	2.0	2.3	0.4
Gross Fixed Capital Formation	-0.5	17.2	-3.5	-0.8
Exports	-1.8	5.8	3.0	1.7
Imports (-)	-9.8	12.4	-1.0	1.5

Source: IBGE, XP.



Public Accounts – Measures under discussion may jeopardize short-term positive results

The April fiscal results confirmed the positive trend for 2022. The consolidated public sector presented a primary surplus of R$ 38.9 billion, the largest in the historical series for the month of April. In 12 months, the public sector surplus reached R$ 137.4 billion (1.5% of GDP).

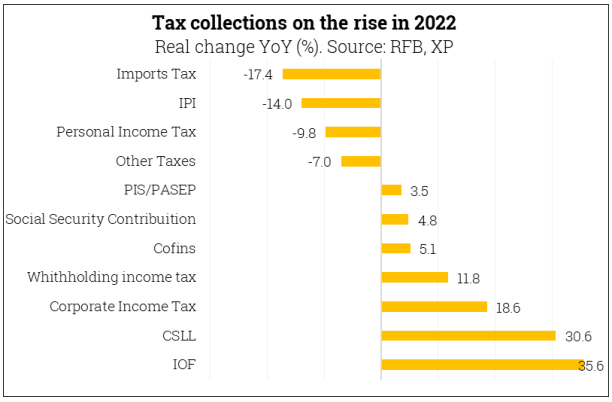
Strong tax-collection continues to be the highlight... Central government revenue grew 11.1% YoY in real terms, with emphasis on IRPJ and CSLL, taxes linked to company profits, and social security revenues, whose collection base is the formal market wage bill. In subnational governments, emphasis is placed on the ICMS, which rose 5.6% in real terms compared to 2021.

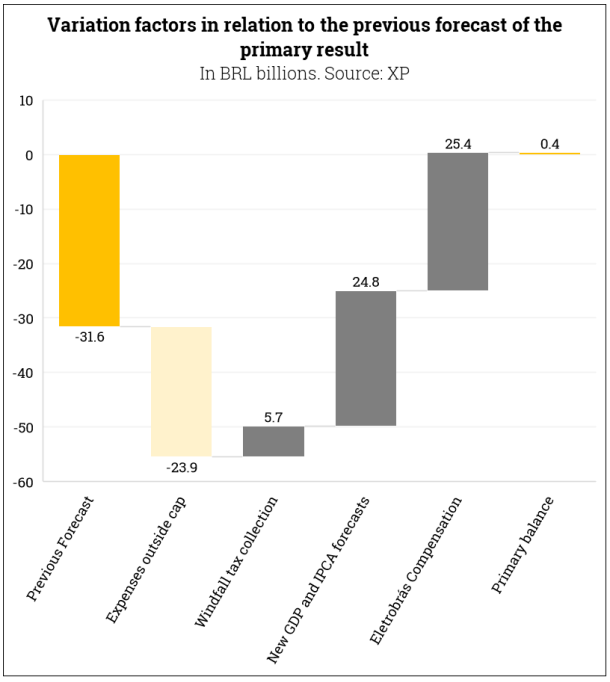
... And it is likely to remain strong. We recently revised our inflation and growth forecasts. These changes impact revenue. The projection for the Central Government's net revenue grew by R$ 29.8 billion in 2022, with emphasis on Income Tax, CSLL and IOF. Additionally, we have included revenues from Eletrobrás "compensation", which should occur following its privatization.

But new expenses also emerged for 2022 and 2023. The inclusion of the payment referring to the judicial agreement between the Federal Government and the São Paulo municipality around the so-called "Campo de Marte" increased primary expenses (outside the expense cap) by R$ 23.9 billion this year. Additionally, the rise in inflation this year increased the spending cap by R$30.7 billion for next year, leading to an increase in spending under the cap by R$155 billion.

Therefore, we have changed our forecast for the Central Government this year from a deficit of R$ 36,1 billion to a R$0.4 billion surplus. For the consolidated public sector, our projections are of a R$85.2 billion surplus.

For the year 2023, we expect a BRL 35.6 billion deficit for the central government, and a BRL 15.8 billion surplus for the consolidated public sector.





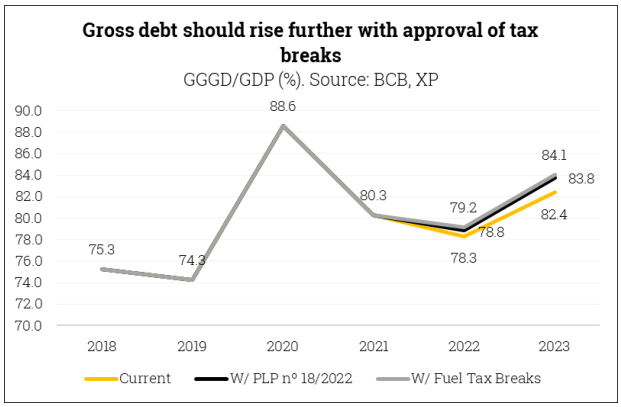
But new measures pending in Congress could worsen these results. In particular, PLP No. 18/2022, which caps ICMS (state-level VAT) tax rates on fuels, natural gas, electricity, communications, and public transport. Our estimates point to a loss of more than R$100 billion in 12 months.

And projects under discussion can further affect these results. The government announced that, with the approval of PLP nº 18/2022, it will be able to exempt PIS/Cofins and Cide-fuels for gasoline and ethanol and that it will compensate states that reduce their ICMS rates to zero for diesel and LPG, in both cases by the end of 2022. The measures have a potential impact of BRL 30.1 billion and BRL 46.9 billion, respectively, in 12 months. Considering its approval from July to December of this year, the impact on the Central Government would be an additional expense of R$ 23.4 billion. As there is no space in the spending cap this year, it would be necessary to approve a new exception via constitutional amendment.

The reduction in ICMS and fuel exemptions would substantially affect our forecast. The approval by the Senate of PLP nº 18/2022 without changes could reduce the public sector surplus this year to R$ 34.8 billion (0.4% of GDP). In 2023, the projection could turn into a deficit of BRL 68.5 billion (0.7% of GDP). In total, the net impact amounts to R$ 84.3 billion. Considering the proposals under discussion to exempt fuel from PIS/Cofins, Cide-fuels and ICMS, the public sector surplus would fall to R$ 11.4 billion (0.1% of GDP) in 2022.

Fiscal impact of new measures (BRL billion in 12 months)				
	PLP nº 18/2022	PIS/Cofins e Cide	ICMS	Total
Electricity	44	-	-	**44**
Fuels	46	30	39	**115**
Gasoline	31	26	-	**57**
Ethanol	2	4	-	**7**
Diesel	12	-	39	**51**
LGP	0	-	8	**8**
Communication	11	-	-	**11**
Total	**101**	**30**	**47**	**178**

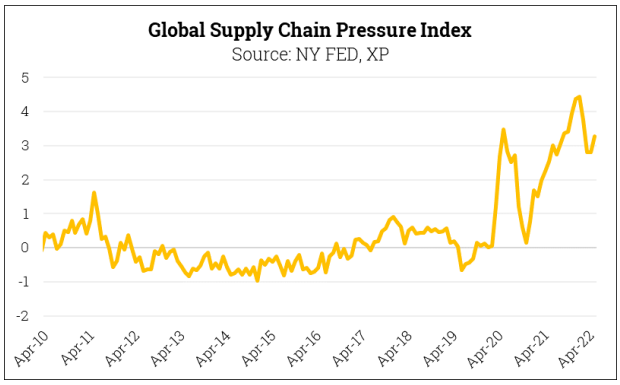
Public debt is expected to fall this year. The improvement in expected GDP growth and in the primary result should lead GGGD to fall to 78.3% of GDP this year (compared to 79.5% of the May report). On the other hand, we continue to expect an increase in 2023, reaching 82.4% (down from 83.4% in last month's report). Considering the approval of PLP 18/2022 and the fuel exemption measures, public debt will fall less this year, reaching 79.2%, and will rise further next year, reaching 84.1%.



Uncertainties grow in the medium term. With the coming electoral race, pressure grows for the approval of measures that increase expenses or reduce revenues. Additionally, ambiguous signals remain from the main candidates regarding the maintenance of the current fiscal framework. These events should increase uncertainties about fiscal sustainability in the coming years, with effects on the risk premiums required for the refinancing of public debt – therefore, on the cost of debt.

Inflation – Tax breaks may bring some short-term relief

The international scenario remains uncertain, contributing to inflationary pressures through the rise in commodity prices. The war in Ukraine and the reopening of the Chinese economy are the main drivers behind these pressures.

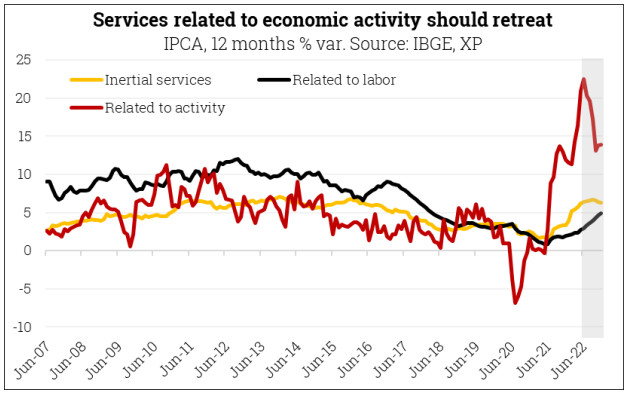


Food prices start to accommodate. Despite rising agricultural commodities, Brazil's price surveys show a drop *in natural* products after a substantial rise in the year beginning. This movement was already considered in our projections. Our forecast for food at home inflation in 2022 remains at 10%.

Oil prices remain high, ranging between 110 and 120 dollars per barrel. Its impact is felt in fuel, production cost and transportation. In

our forecast, we envisage an additional 10% readjustment for gasoline prices this year.

Rising production costs and input shortages should keep industrial prices under pressure. Indeed, the New York Fed "Global Supply Chain Pressure" Index shows a new high in April (see chart). Thus, we forecast industrialized goods inflation at 10% this year.

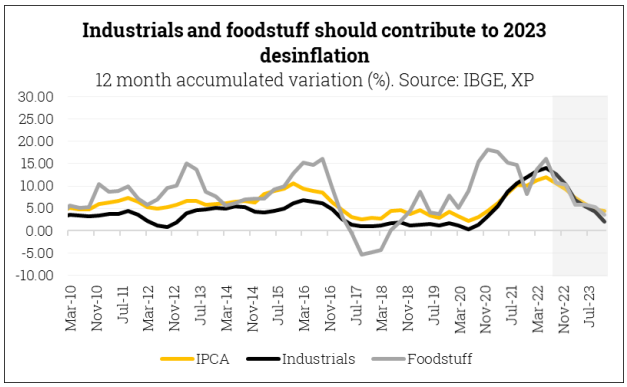


Finally, heated domestic demand put pressure on services inflation. We expect some deceleration in 2022H2 as economic activity loses steam. Still, services inflation in 2022 should reach 8.5%.

All considered, we project IPCA inflation at 9.2% this year.

There are reasons to believe that inflation posed to fall from in coming quarters: i) tighter monetary policy domestically and globally; ii) commodities prices, measured in BRL, are roughly stable since September 2021; iii) Domestic demand should start to feel the effect of tighter financial conditions and higher prices.

Thus, we forecast 4.5% for IPCA inflation in 2023.



Food and industrial goods will be the main drivers of disinflation ahead. We project that the household food group will decline to 3.5%, while industrial goods should register a variation close to 2% next year. The group of managed goods, on the other hand, should still have a high readjustment in 2023 (around 6%), due to indexation and still-repressed costs, as in the case of public transport. The variation is not larger because we expect stability in fuel prices, after rising above 15% this year. For the services group, we project an increase of 5.5% in 2023.

Subsidies and tax cuts can shift short-term inflation downwards

PL 18 can reduce the 2022 IPCA by up to 1.7pp. We estimate that the bill limiting the ICMS rate for essential goods (energy, fuel, telecommunications, and public transport) has an impact of -1.7pp on the IPCA if the tax drop is fully passed on to the final consumer.

In addition, other measures are being discussed to mitigate the rise in prices in the year. On June 6th, the government proposed zeroing the ICMS on diesel and LPG by the end of 2022 and the PIS/Cofins on gasoline and ethanol, which has an additional impact on the 2022 IPCA of -0.71 p.p.

Variables	Current		With PLP 18/2022		Aditional mensures	
	2022	2023	2022	2023	2022	2023
IPCA (%)	9.2	4.5	7.7	4.1	6.9	4.5
INPC (%)	10.2	4.5	8.6	4.0	7.9	4.6
Primary Result (% GDP)	0.9	0.2	0.4	-0.7	0.1	-0.7
Gross Debt (% GDP)	78.3	82.4	78.8	83.8	79.2	84.1

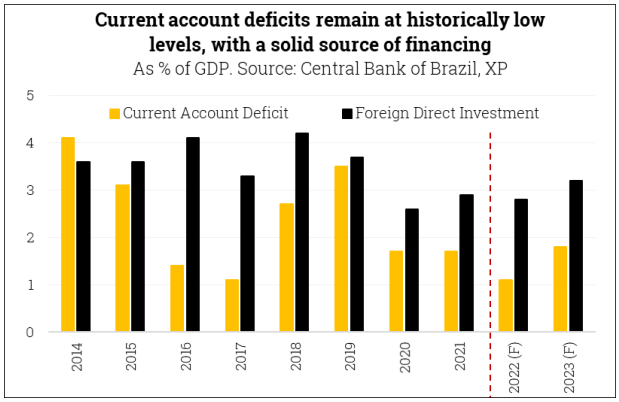
By 2023, the effects will be the opposite. On the one hand, these additional measures have a temporary impact, so prices tend to return to the level before the fall in taxes, generating an effect of the same magnitude of opposite sign on inflation. However, lower inflationary inertia for next year due to the fall in the 2022 IPCA should mitigate this upward effect in 2023.

We should monitor other measures that can bring relief to the electricity bill. PLs 1.143 and 1.280 seek to reduce the price of electricity through the anticipation of tax credits to distributors

generated by the improper collection of ICMS. The anticipated amount could reach R$ 50 billion.

External Sector – Trade balance remains at all-time highs

Brazilian trade balance remains very favorable. Both exports and imports have been rising consistently in recent months. Considering the average for working days, the value of foreign sales jumped around 20% from January to April 2022 compared to the same period in 2021 (to USD 1.27 billion from USD 1.05 billion). Agribusiness and mining products continue to play a major role. The value of total imports recorded an even sharper increase based on the same gauge (nearly 30%, to USD 1.03 billion from USD 0.80 billion), mainly driven by the surge in fuel imports. Accordingly, the trade balance showed an accumulated surplus of USD 19.5 billion considering year-to-date results (January to April, as the official release of numbers for May was postponed), which means a gain of nearly USD 1.5 billion compared to the first four months of 2021. We continue to expect the Brazilian trade balance to amount to USD 65 billion in 2022 and USD 47 billion in 2023.



The current account deficit continues to shrink. We did not change estimates for the other balance of payments accounts. We note that the release of the Central Bank of Brazil's external sector statistics remains interrupted (due to the partial strike of the institution's employees). We anticipate a current account deficit of around USD 20 billion in 2022 (-1.1% of GDP), after the USD 28 billion deficit registered in 2021 (-1.7% of GDP). For 2023, the negative current account balance is expected to widen to USD 36 billion (-1.8% of GDP), mostly due to some reduction in the trade balance. This scenario considers a significant slowdown in global economic growth and a moderate decline in international commodity prices over the next year. Meanwhile, Foreign Direct Investment (FDI) should continue on a gradual growth trajectory in 2022 and 2023: we project USD 55 billion (2.8% of GDP) and USD 65 billion (3.2% of GDP), respectively. In a nutshell, the Brazilian balance of payments remains very robust, marked by low current account deficits and stable sources of financing.

From this viewpoint, one could say that the BRL, at 4.8 reais to the dollar, is still undervalued. On the other hand, global monetary tightening and domestic political uncertainties pose risks that could keep the Brazilian currency away from long term fundamentals.

Thus, we keep our BRL forecast at 5.0 reais per dollar this year, and 5.3 for 2023.

Monetary Policy – A little more now, room for cuts ahead

Almost there. The Central Bank of Brazil (BCB) has been signaling that it is close to a pause in the cycle of high interest rates. The main argument is that the adjustment already implemented was "quite intense and timely"; and, due to monetary policy lags, "much of the expected contractionary effect and its impact on current inflation are still to be seen".

We believe, however, that the BCB will eventually opt to extend the cycle until August. Current inflation remains high and diffused and is

already putting pressure on longer-term expectations. Therefore, we believe the Copom will find it necessary to implement two additional 50-bps hikes in June and August before it enters a "wait-and-see" period.

Thus, we maintain our terminal Selic forecast at 13.75%.

Disinflation ahead. As we pointed out in the inflation session above, there are reasons to believe inflation will fall next year, and gradually converge to the target path in 2024.

These factors reinforce our conviction that the BCB will find considerable room to reduce interest rates next year. We project the Selic rate at 8.75% by 2023 year-end.

This scenario assumes that there will be no deep changes in economic policy in the next presidential term.

XP Forecasts

	2018	2019	2020	2021 (F)	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	1.6	0.5
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	9.5	9.0
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	9.2	4.5
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	8.75
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	0.9	0.2
Gross debt (% GDP)	75.3	74.3	88.8	80.3	78.3	82.4
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	64.6	47.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	329.7	333.4
Imports (USD Bn)	185.3	185.9	158.8	219.4	265.1	286.4
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-20.7	-36.3
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-1.1	-1.8
FDI (USD Bn)	78.2	69.2	44.7	46.4	55.0	65.0
FDI (% GDP)	4.1	3.7	2.9	2.9	2.8	3.2
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.94	1.93
Nominal GDP (BRL Tri)	7.00	7.38	7.46	8.67	9.72	10.25

Source: IBGE, BCB, Bloomberg, XP.

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